Kinsus

3189.TW | Taiwan Stock Exchange | 2026-10-07

Q4 2027 model ceiling: TWD 747.55

Analytical Base 42/60 = 70 | Watchlist

20x forward-four-quarter owner-equivalent operating profit, less financial claims, divided by diluted common shares at end of forward window. Q+next3.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: TWD 1,070.00 on 2026-10-06. Model diluted shares at Q3 2026: 526.910m. Indicative diluted capitalization: TWD 563,794.1m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in TWD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	19,896.2	20x	530.080	747.55

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Company operating profit and matching common-share claims. 20x forward-four-quarter owner-equivalent operating profit, less financial claims, divided by diluted common shares at end of forward window. Q+next3.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use TWD m unless a different unit is stated.

Thesis

3189.TW | Taiwan Stock Exchange | TWD | 7 October 2026

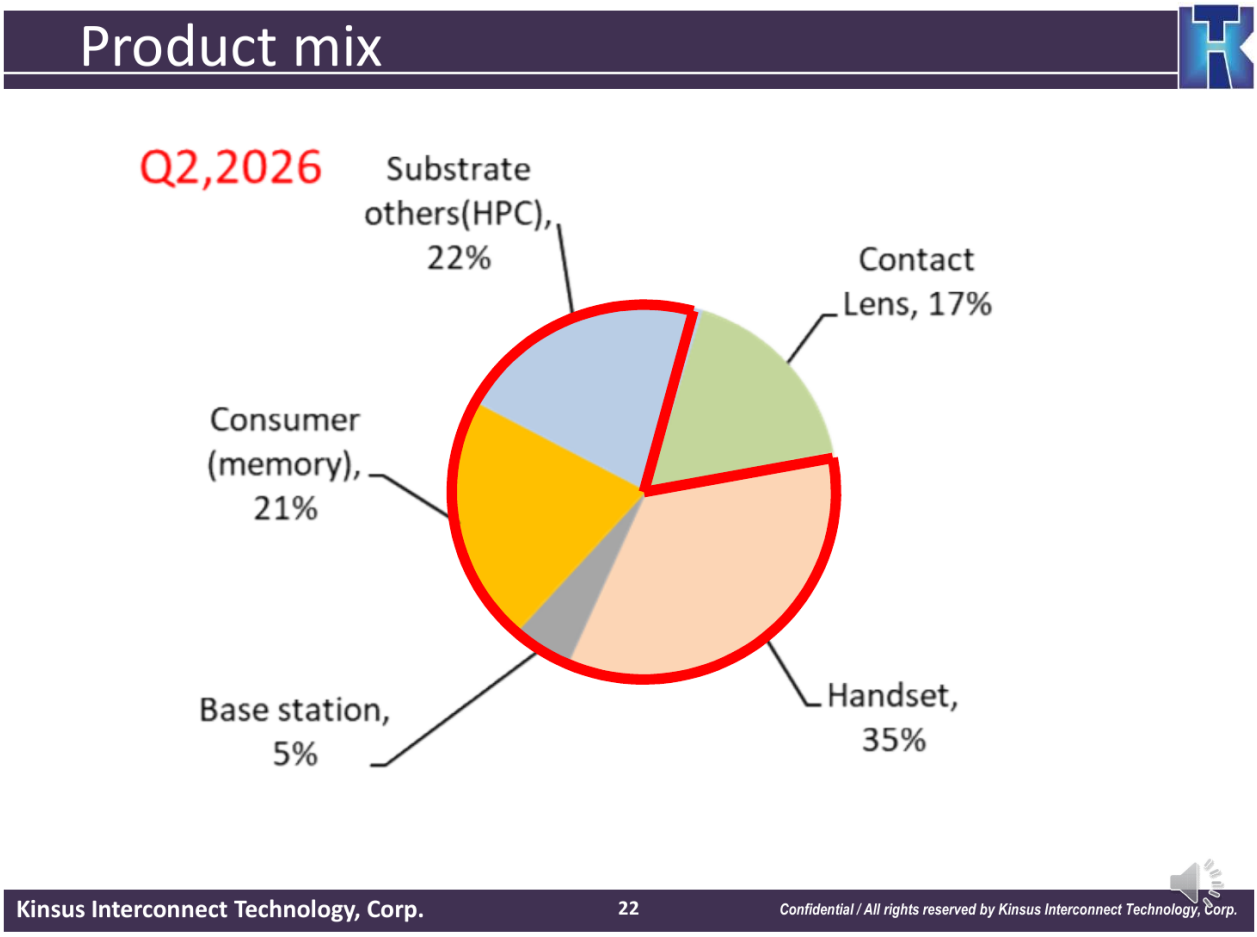
Q4 2027 model ceiling: TWD747.55. Analytical Base: 70/100. The valuation uses 20 times operating profit attributable economically to Kinsus shareholders over Q4 2027 through Q3 2028, subtracts TWD1.66 billion of financing claims and divides by 530.08 million modeled diluted shares. The method is an operating-profit valuation, not a P/E ratio.

The actual revenue mix

Kinsus offers a credible way to participate in the increasing complexity of semiconductor packaging. The investment question is how much higher-value substrate work it can qualify, produce and sell profitably. It is not enough to count every AI processor, memory shortage and optical interconnect as a separate source of revenue.

The company's September presentation puts the boundary in clear view. Its Q2 revenue mix was 22% HPC, 35% handset, 21% consumer/memory, 5% base station and 17% contact lenses. The latter is a medical-products business consolidated through Pegavision, not an optical-networking component business. A forecast built as though the entire company were advanced AI substrates would misstate both the growth rate and the shareholder claim. [KIN-DECK, slide 22]

The analytical thesis is a substantial migration toward HPC, while the mature substrate businesses remain important cash generators and sources of cyclicality. The forecast gives the new business time to develop, retains the costs of manufacturing and development, and allows input shortages to damage earnings even when demand is strong.



Original issuer exhibit | Q2 2026 mix: HPC 22%, handset 35%, memory/consumer 21%, base station 5%, contact lenses 17%. These are group revenue percentages, not profit shares.

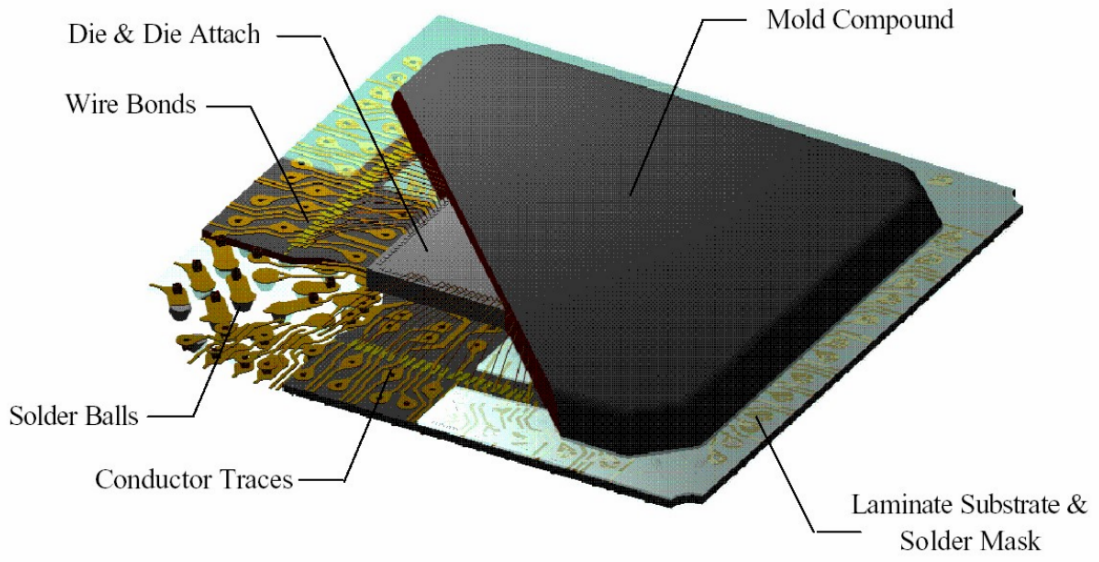
The invoice and the engineering bottleneck

A package substrate routes power and signals between the semiconductor package and its circuit board. Kinsus receives a substrate invoice. It does not receive the selling price of the processor, the HBM stack, the foundry wafer, the assembly service or the finished rack.

The important engineering change is the amount and difficulty of processing behind that invoice. Larger packages place fewer usable units on a panel. More layers and tighter routing increase the number of fabrication steps. Mechanical stability, alignment, via integrity and thermal behavior become harder to control. Higher package content can therefore increase substrate revenue while also consuming production capacity and raising scrap risk. The correct output measure is qualified, saleable product after yield losses.

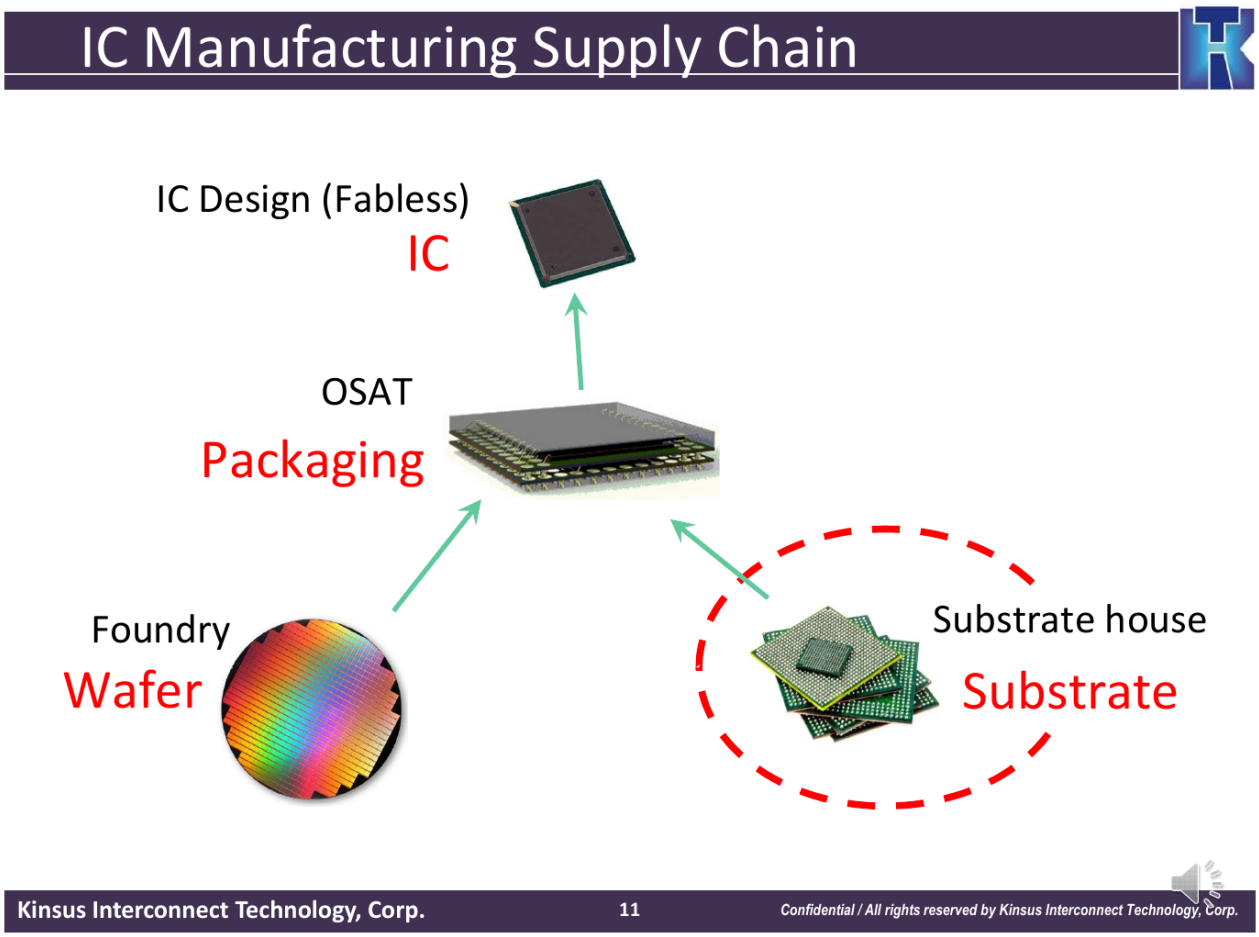
ABF and BT substrates should also remain distinct from copper-clad laminate. Material suppliers sell an input; substrate manufacturers transform it into a qualified patterned component. Their margins need not rise together. A material bottleneck can support substrate pricing but also increase substrate costs or delay shipments. The active model retains only part of a conditional price increase as profit.

What Substrate Makers do?



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Original issuer exhibit | The substrate connects die/package signals to the board. Kinsus does not receive the value of the silicon, packaging service or final server.



Original issuer exhibit | Separate substrate, wafer and OSAT invoices. A shared AI program is not three independent demand shocks.

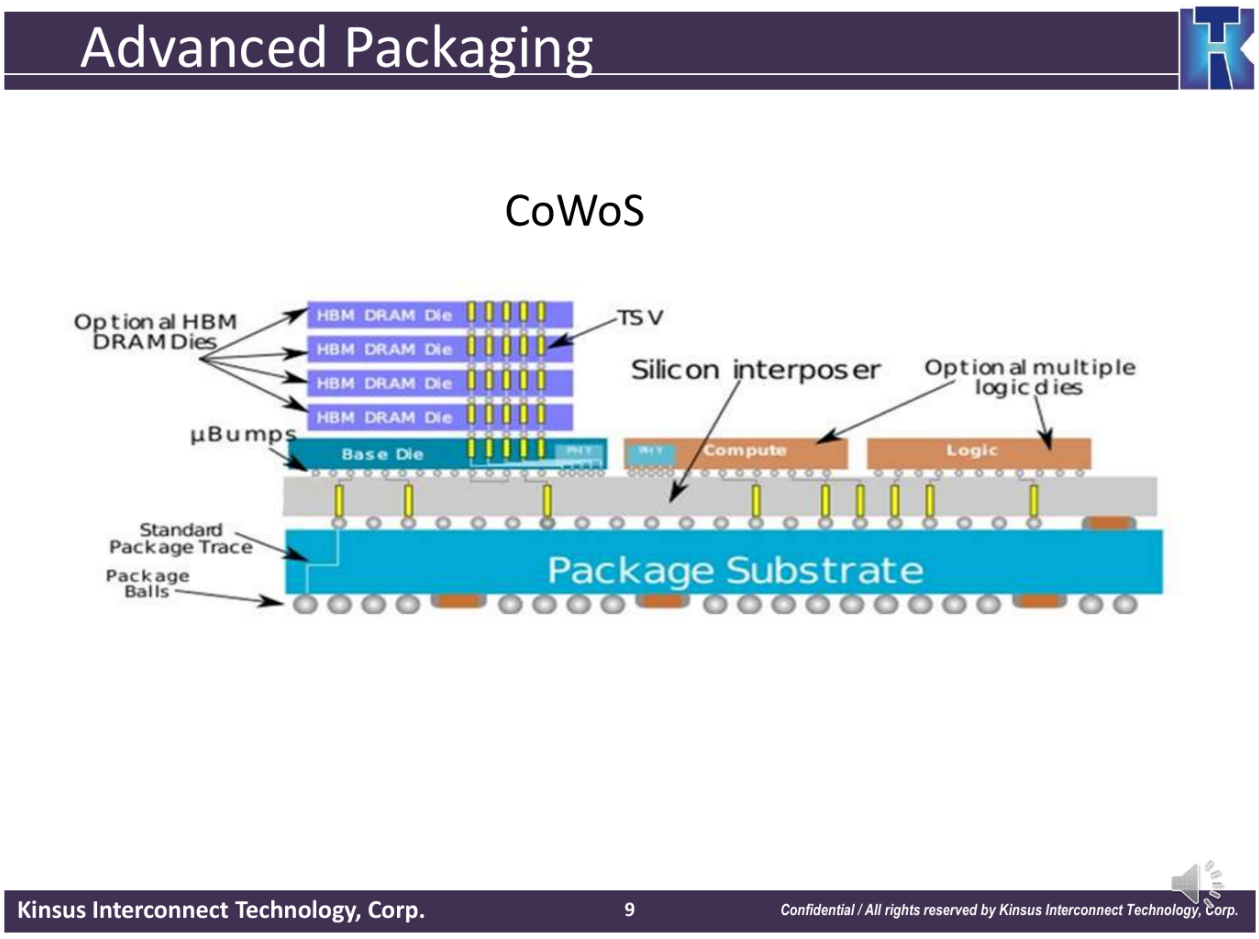
Why advanced packages consume more capacity

The company's CoWoS illustration places the package substrate beneath the interposer and the dies. That position creates an attractive content opportunity as packages grow, but the illustration provides neither a customer allocation nor a unit forecast. A commercial model still needs qualified capacity, yields, product mix, accepted shipments and realized prices. [KIN-DECK, slides 7-11]

The reference HPC revenue path starts at TWD4.2 billion in Q3 2026 and reaches TWD7.0 billion in Q4 2027. That is already an aggressive change from the Q2 HPC revenue proxy of approximately TWD2.75 billion implied by the disclosed 22% mix. By Q4 2030 the reference reaches TWD12.5 billion a quarter. These are analytical assumptions, not disclosed factory output or contracted revenue.

The reference also gives HPC gross margin a rise from 30% to 38% at its 2028 high point before it fades to 34% by the end of 2030. That profile assumes better mix and cost absorption as the new production base matures, followed by capacity response and competitive normalization. Depreciation remains inside production cost; it is not added back to the valuation earnings.

The capacity branch covers only output above this already expanding reference. There is no second multiplier for higher utilization on the same sales. This distinction matters: a probability assigned only to incremental capacity does not make the large reference forecast itself low-risk.



Original issuer exhibit | CoWoS contains a package substrate below the interposer. More package area and layers raise processing work; this drawing provides no numerical Kinsus allocation.

What the latest financial evidence establishes

Q2 consolidated revenue was TWD12.496 billion, gross profit TWD3.261 billion and operating profit TWD1.679 billion. Operating expenses were TWD1.582 billion. The first-half figures were revenue of TWD23.601 billion and operating profit of TWD2.569 billion. First-half cash flow from operations was TWD3.943 billion; cash paid for property, plant and equipment was TWD3.517 billion. The first half included a TWD446.46 million employee-subscription charge connected with the capital raise. It is not mechanically repeated every quarter, while recurring development, compensation and selling costs remain. [KIN-Q2]

The company has since reported July, August and September revenue of TWD4.549 billion, TWD4.810 billion and TWD5.181 billion. Their sum, TWD14.540 billion, is the Q3 revenue anchor. Profit and detailed product mix for the quarter remain modeled. The September monthly result was 44.47% above the prior year. [KIN-MONTHLY]

An exchange-required disclosure provides a useful additional calibration point: August self-assessed pretax profit of TWD1.110 billion and profit attributable to the parent of TWD817 million, with rounded revenue of TWD4.810 billion. This supports a material improvement from the second quarter. It does not establish that every month will carry the same margin, exchange gains or tax rate. [KIN-AUG]

On 7 September the company clarified that press reports of double-digit sequential Q3 and Q4 revenue growth were media forecasts, not a formal financial forecast issued by Kinsus. The model therefore uses actual monthly revenue and explicit assumptions rather than upgrading those press estimates to management guidance. [KIN-CLARIFY]

Operating profit belongs to the common shareholder

The ownership adjustment is material. Kinsus consolidated Pegavision while owning 30.02% at June 2026; the prior figure was 29.55%. Pegavision's employee-related treasury repurchase temporarily increased the percentage. The model uses a sustainable 29.55% interest and a further 1% reserve for minorities within Pegavision, producing a 29.2545% effective lens claim.

Pegavision's own Q2 filing reports TWD584.568 million of operating profit and TWD549.076 million of net income. Its first-half operating profit was TWD1.127 billion. This distinction resolves an important trap in Kinsus's segment disclosure: the segment profit figures reconcile to group net income, so they cannot simply be treated as segment EBIT. [PEG-Q2]

The operating model presents substrates at full revenue and costs, plus the owner-equivalent portion of lens revenue and costs. These are not reported consolidated revenue figures. The full group reference sales path is retained separately. Remaining Piotek losses are borne in full in the modeled substrate cost line, even though Kinsus owns only 51% of that holding structure. This avoids an unearned minority-loss benefit while its detailed operating bridge remains unresolved.

This ownership treatment prevents the valuation from assigning all of a profitable medical-products subsidiary to Kinsus shareholders. The financial-claims bridge uses the same discipline: minority-owned cash is removed from the cash credit.

晶碩光學股份有限公司及子公司

合併綜合損益表

民國一一五及一一四年四月一日至六月三十日及民國一一五及一一四年一月一日至六月三十日

(金額除每股盈餘外，均以新台幣仟元為單位)

代碼	會計項目	附註	一一五年第二季		一一四年第二季		一一五年上半年度		一一四年上半年度	
			金額	%	金額	%	金額	%	金額	%
4000	營業收入	六.19及七	$2,114,505	100	$1,626,814	100	$4,000,172	100	$3,220,313	100
5000	營業成本	六.6及七	(994,095)	(47)	(799,009)	(49)	(1,874,215)	(47)	(1,514,035)	(47)
5900	營業毛利		1,120,410	53	827,805	51	2,125,957	53	1,706,278	53
6000	營業費用	七								
6100	推銷費用		(224,820)	(11)	(188,994)	(12)	(412,333)	(10)	(356,469)	(11)
6200	管理費用		(150,762)	(7)	(113,839)	(7)	(286,694)	(7)	(229,367)	(7)
6300	研究發展費用		(161,584)	(7)	(145,472)	(9)	(300,140)	(8)	(310,612)	(10)
6450	預期信用減損利益(損失)	六.20	1,324	-	(605)	-	587	-	150	-
	營業費用合計		(535,842)	(25)	(448,910)	(28)	(998,580)	(25)	(896,298)	(28)
6900	營業利益		584,568	28	378,895	23	1,127,377	28	809,980	25
7000	營業外收入及支出	六.23								
7100	利息收入		11,589	1	11,794	1	23,637	1	23,039	1
7010	其他收入	七	56,720	3	12,045	1	71,311	2	142,775	5
7020	其他利益及損失		8,516	-	(4,994)	-	15,669	-	15,469	-
7050	財務成本	七	(11,447)	(1)	(12,723)	(1)	(21,592)	(1)	(25,472)	(1)
7060	採用權益法認列之子公司、關聯企業及合資損益之份額	六.7	(127)	-	(106)	-	(172)	-	(162)	-
	營業外收入及支出合計		65,251	3	6,016	1	88,853	2	155,649	5
7900	稅前淨利		649,819	31	384,911	24	1,216,230	30	965,629	30
7950	所得稅費用	四及六.25	(100,743)	(5)	(64,257)	(4)	(189,269)	(5)	(151,696)	(5)
8200	本期淨利		549,076	26	320,654	20	1,026,961	25	813,933	25
8300	其他綜合損益(淨額)	六.24								
8360	後續可能重分類至損益之項目									
8380	國外營運機構財務報表換算之兌換差額		(4,322)	-	(122,807)	(8)	21,761	1	(103,329)	(3)
8399	與可能重分類至損益之項目相關之所得稅		(1,162)	-	596	-	(1,575)	-	97	-
	本期其他綜合損益(稅後淨額)		(5,484)	-	(122,211)	(8)	20,186	1	(103,232)	(3)
8500	本期綜合損益總額		$543,592	26	$198,443	12	$1,047,147	26	$710,701	22
8600	淨利(損)歸屬於									
8610	母公司業主		$544,246	26	$313,464	19	$1,016,521	25	$802,650	25
8620	非控制權益		4,830	-	7,190	1	10,440	-	11,283	-
			$549,076	26	$320,654	20	$1,026,961	25	$813,933	25
8700	綜合(損)益總額歸屬於									
8710	母公司業主		$538,566	26	$194,832	12	$1,035,414	26	$702,483	22
8720	非控制權益		5,026	-	3,611	-	11,733	-	8,218	-
			$543,592	26	$198,443	12	$1,047,147	26	$710,701	22
	每股盈餘(元)									
9750	基本每股盈餘(元)	六.26	$7.08		$4.02		$13.13		$10.29	
9850	稀釋每股盈餘(元)	六.26	$7.04		$4.00		$13.03		$10.21	

(請參閱合併財務報表附註)

董事長：郭明棟　　經理人：楊德勝　　會計主管：王景祥

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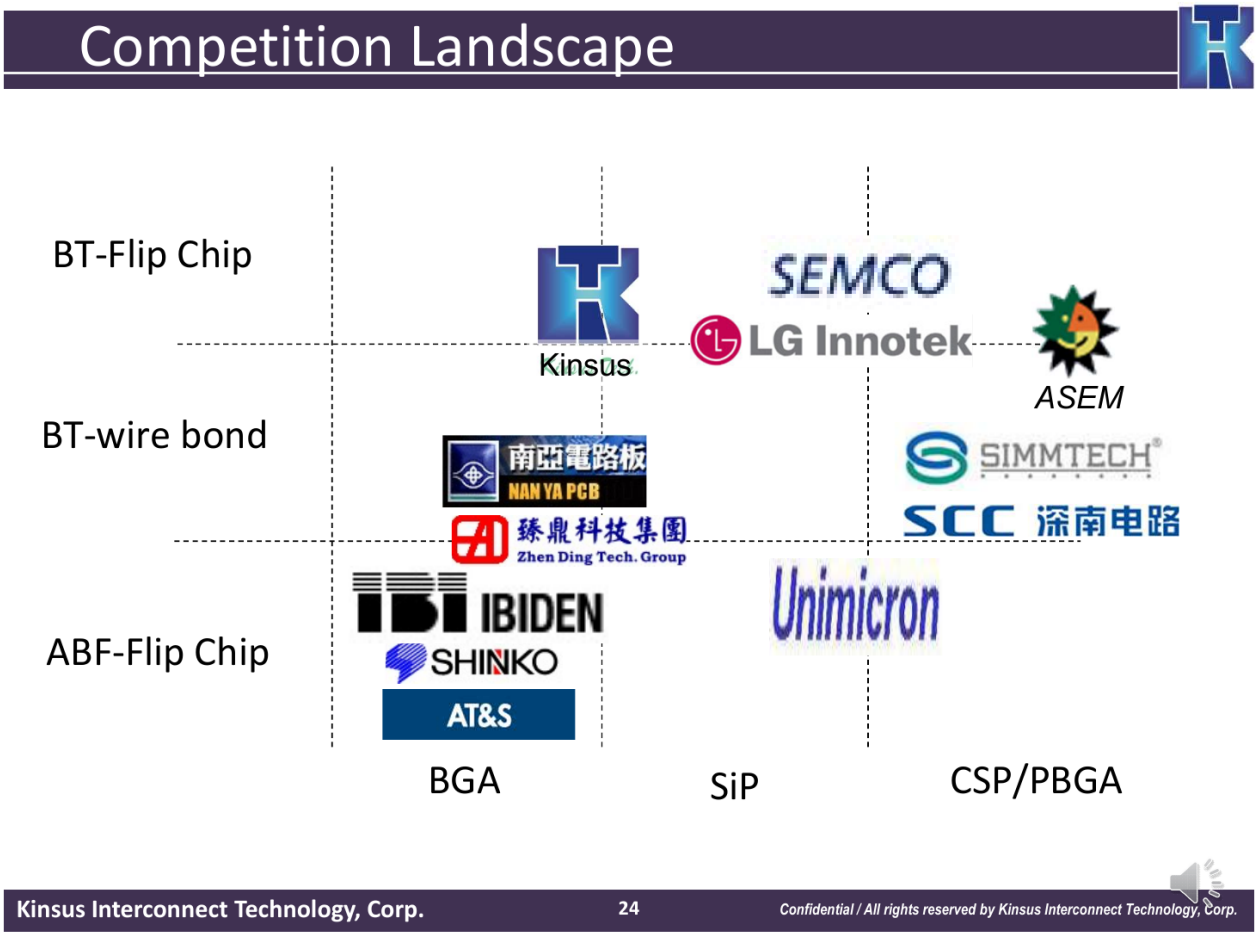
Original issuer exhibit | Pegavision Q2 EBIT was TWD584.568m, distinct from TWD549.076m net income. Kinsus owns about 30%, not all of this lens business.

Competition and qualification

Kinsus's product map shows exposure across more than one substrate category. The competitors differ by product and process: Ibiden, Shinko, AT&S, Unimicron and other substrate suppliers do not all offer identical qualifications, technologies or capacity. A logo map is useful for locating competition, but does not establish market share or technical superiority. [KIN-DECK, slide 24]

The 2025 annual report describes technology development in large, high-density substrates and specialized packaging structures. It also identifies specialty film and high-end glass cloth as potential constraints. At the same time, it warns that low-end ABF and BT products can remain oversupplied. These statements support a selective scarcity thesis rather than a blanket shortage premium across every product. [KIN-AR]

Qualification is the main barrier between announced capital spending and revenue. Customers must accept the process and reliability of the finished component. If a substrate defect can jeopardize an expensive package, buyers care about reliable delivery and yield as well as the unit price. That can create pricing power on new orders, but it does not prove that existing backlog is freely repriceable.



Original issuer exhibit | Issuer product-positioning map. It distinguishes ABF and BT markets but does not establish market shares or superiority.

Spending and financing are part of the thesis

The board approved an additional TWD19.6 billion project-capex budget on 31 July. The announcement names own funds and bank financing as funding sources and leaves implementation flexible with demand and project progress. It does not provide a fixed quarterly payment schedule or a numerical good-unit capacity commitment. [KIN-CAPEX]

A separate September announcement records TWD1.3742 billion of factory works. This is evidence of implementation, but it is not automatically an additional project on top of the full capex budget. Individual machinery, construction and site announcements are treated as components of the investment program unless the company clearly establishes separate scope. [KIN-CONSTRUCTION]

The cash model assumes TWD10 billion of owner-scope capex in the second half of 2026, TWD16 billion in 2027, TWD9 billion in 2028 and TWD6.5 billion annually in 2029 and 2030. This is an analytical spending envelope, including contingency for construction and site requirements. The details of an October land acquisition were not recovered, so its actual price remains a specific gap.

Opening group net cash is TWD8.457 billion after liquid financial investments, all borrowing including current maturities, and leases. Removing the unowned part of Pegavision cash and a conservative reserve for Piotek

minorities leaves TWD5.988 billion of owner-adjusted net cash. After a TWD3 billion operating buffer, TWD2.988 billion is available. The reference cash budget reaches a TWD4.649 billion peak cumulative draw, leaving TWD1.661 billion to finance. That claim is charged to the valuation; the factory is not assumed to finance itself for free.

Cash taxes, dividends, working-capital growth, interest and continuing capex all appear in that bridge. Positive cash generated later is not immediately capitalized as a second valuation benefit. The model retains the peak financing reserve to recognize execution and payment-timing risk.

Shares and dilution

The model begins with 526.910 million issued Kinsus common shares, not the lower weighted-average share count used in the reported quarter's EPS. The earlier 70 million-share capital raise and its TWD10.15 billion proceeds are already inside the opening balance sheet. They are not counted twice. Pegavision's treasury shares are shares of a subsidiary, not shares to subtract from Kinsus's common denominator.

Future dilution is 0.075% per quarter, a modeled allowance for recurring compensation rather than a forecast of a specific award. The denominator used for each ceiling is the diluted share count at the end of its four-quarter earnings window.

Shareholders authorized a private placement of as many as 100 million shares. The latest reviewed financial filing says it had not commenced. The model does not assume a full issuance or credit cash proceeds: the residual funding requirement is modeled as borrowing and is modest relative to the operating cash-generation forecast. The authorization remains a material overhang. A separate 100 million-share, no-proceeds sensitivity shows dilution risk without pretending to know the future subscription terms. [KIN-Q2]

Active forward evidence

The qualified-output branch has a 60% probability. Its conditional revenue increment rises from TWD100 million in Q1 2027 to TWD750 million in Q4 2027, TWD1.75 billion in Q4 2028 and TWD2.6 billion in Q4 2030. A 34% incremental gross margin and 6% incremental operating-cost rate convert that revenue into operating profit. The branch only applies above reference output.

The pricing outcomes now consist of a 35% chance of the stronger reset described below, a 20% chance of the earlier modest 2-12% price-level path, and a 45% chance of no repricing. All outcomes use the same 30% pool of new or repriceable reference substrate sales. Materials, processing and yield consume 45% of incremental price dollars; operating costs consume another 4%. Only 51% becomes operating profit. Fixed-price orders, contact lenses and conditional capacity revenue do not receive this uplift.

A correlated ramp-risk branch has a 25% probability. Beyond reported Q3 revenue it removes 8% of reference HPC shipments at a 55% contribution margin and adds excess scrap/ramp costs equal to 1.5% of HPC revenue. It is one branch for the combined constraint, not three additive shocks for materials, yield and capacity.

Pricing magnitude: the October 7 reconciliation

The updated Q4 2027 ceiling is TWD747.55, compared with TWD676.95 before this pricing reconciliation. The change is TWD70.60 per share, or 10.4%. The 20-times operating-profit multiple, ownership adjustments, share path, financing reserve, volume forecasts and Base 70 remain unchanged. The same Q4 2027 through Q3 2028 earnings window is used on both sides.

TrendForce's 5 October industry table projects ABF substrate prices rising 10-15% quarter over quarter from Q3 2026 through Q4 2027. Its current lead-time estimate is 48-56 weeks, compared with 12 weeks in a balanced market. That is materially stronger than the earlier model's 2-12% total price-level uplift. The source was reviewed previously as an industry signal, but the Kinsus initiation did not explicitly document how that magnitude translated into its company-specific pricing path. This update reconciles that gap. Reposts and translations remain one source family. [KIN-TF-20261005; KIN-JUKAN-20261005]

The lower 10% quarterly rate gives prospective cumulative increases of 10% in Q4 2026, then 21%, 33.1%, 46.41% and 61.051% through 2027. The calculation starts from the Q3 2026 price level. There is no extra increase to reported Q3 sales. Five increases of 10-15% produce 61.051-101.136%, while six increases from a Q2 base produce 77.156-131.306%. The circulating 77-133% claim mixed those intervals. [KIN-GENZ-20261006]

The stronger outcome receives a 35% probability because the source forecasts the industry, while Kinsus's precise eligible mix, pricing terms and pass-through remain undisclosed. A further 20% retains the earlier modest reset and 45% has no reset. This preserves the former 55% combined chance of some repricing. Restricting eligibility to 30% of reference substrate sales recognizes fixed and legacy terms; it also limits overlap with an already ambitious reference revenue and margin path. The model does not assume that all Kinsus sales are ABF, or that the entire company compounds at an industry forecast rate.

The stronger +61.051% level is held through 2028 as an explicit persistence assumption. The source forecast itself ends in Q4 2027. For 2029, only half the stronger-minus-modest 2028 peak gap remains above each quarter's old price level. By 2030 the extra difference disappears and the old modest fade applies. This reflects potential competing capacity and customer negotiations; it is not a fresh forecast from TrendForce.

The implementation is equivalent to 55% of the old modest-price component plus 35% of the stronger-minus-modest difference. It does not add a second complete price increase to the same invoice. Only 51% of the added price revenue reaches operating profit after manufacturing, material, yield and operating costs. The reference volume and qualified-output branch are unchanged, so price, utilization and new capacity are not multiplied together. Incremental cash generation is not also credited as a debt reduction; the existing peak financing reserve is retained.

An October 7 summary of unnamed brokers points to Q3 and Q4 gross margins of 33.2% and 35.1%, Q3 ABF and BT price increases of 10%, and much higher margins on some high-end chipset substrates. Those are attributed estimates, not issuer guidance. Their EPS, valuation multiple and price target are not imported. A reported-scope gross margin must also be distinguished from this model's owner-equivalent operating tables, which include only Kinsus's economic claim on contact lenses. [KIN-BROKER-20261007]

The next tests are realized substrate margins, accepted high-end output and identifiable customer price resets. A change in low-end mix or expensive material substitution can weaken the profit capture even if industry lead times remain long. The bounded branch can be revised when those inputs become clearer.

Item	Status	Current Lead Time	Balanced Lead Time	Quick Take
CPU	Tight	25–30W	16–20W	AI inference workloads are driving solid CPU demand, while supply remains tight.
GPU	Balanced	30-40W	30-40W	The Blackwell series will remain the main shipping platform through 2026, with demand expected to extend into 1H27. On the Rubin platform, system-level testing and validation issues persist, with volumes expected to ramp gradually from 4Q26 or 1Q27.
DRAM	Very Tight	20W	8W	Suppliers' early-stage discussions on 4Q26 contract pricing point to meaningful price increases, suggesting strengthening demand momentum, particularly from US CSPs.
NAND (eSSD)	Tight	16W	8W	The DRAM shortage is constraining some NAND suppliers' ability to support enterprise SSD solutions. As a result, enterprise SSDs are expected to remain undersupplied through 2026.
HDD	Very Tight	50W	16W	Even though Toshiba announced a new production line expansion, it will take at least 12 to 24 months to come online. Lead times are therefore unlikely to improve before late 2027 at the earliest.
ABF	Very Tight	48–56W	12W	ABF substrate capacity is not coming online fast enough to keep up with the sharp rise in demand. The supply-demand gap is unlikely to close in the near term, so the market should stay tight. We expect ABF substrate prices to rise 10–15% QoQ starting in 3Q26 and continuing through 4Q27.
MLCC	Tight	35W	12W	Demand for low-end consumer-grade MLCCs is slowing, while high-end 0805 standard parts for AI applications are in short supply, extending the polarization in market demand.

Status key
Very Tight = severe shortage **Tight** = constrained supply **Tightening** = conditions worsening
Balanced = supply-demand balance **Easing** = conditions improving

Source: TrendForce, Oct 5, 2026

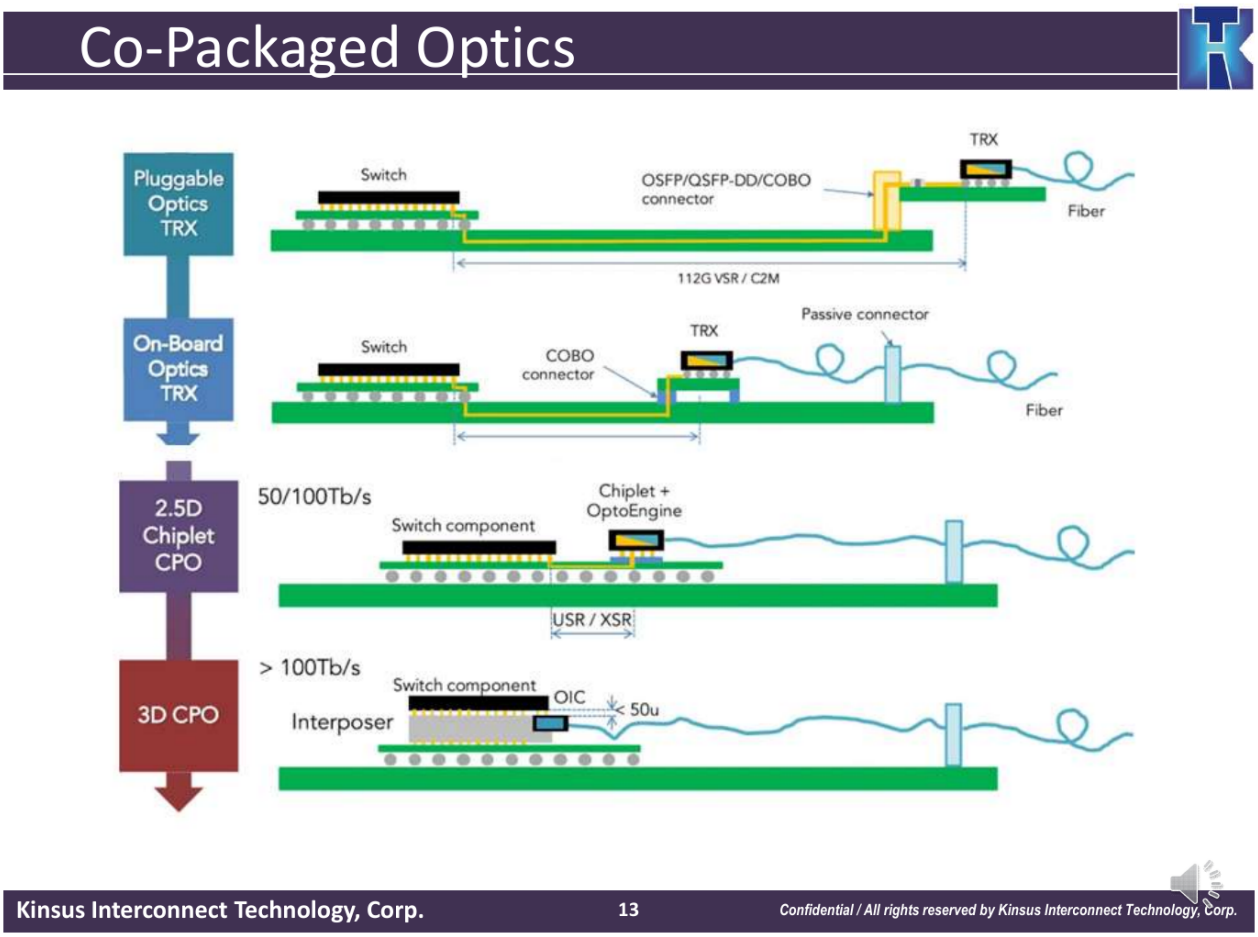
TrendForce

TrendForce original supply-chain table, 5 October 2026 [KIN-TF-20261005] | TrendForce, 5 October 2026: ABF lead times are 48-56 weeks versus a 12-week balanced benchmark, with forecast price rises of 10-15% quarter over quarter through Q4 2027. These are industry estimates, not Kinsus contracts. Kinsus receives a substrate invoice; the active branch applies only to 30% of reference substrate sales and retains 51% of incremental price dollars as operating profit. All other table categories are context, not additional Kinsus revenue.

Optical architecture is optionality inside HPC

The CPO diagram is relevant because moving optics closer to a switch changes packaging density and electrical reach. It does not establish a Kinsus-specific award, substrate price or production date. Potential optical packaging content is included within the HPC and residual qualified-output paths. A second standalone CPO sales line would overlap that exposure. This is a justified zero additional increment, not a claim that optical packaging has no value.

The key catalysts are accepted output from the new investment program, an identifiable increase in advanced-product sales, sustainable margins as depreciation rises, and explicit customer pricing or funding terms. The negative catalysts are delayed qualification, lower-end price competition, costly material substitution, greater working-capital consumption or a dilutive financing requirement.



Original issuer exhibit | CPO changes packaging and connection density. The roadmap is not a named Kinsus award or an immediate separate revenue stream.

Score and falsification

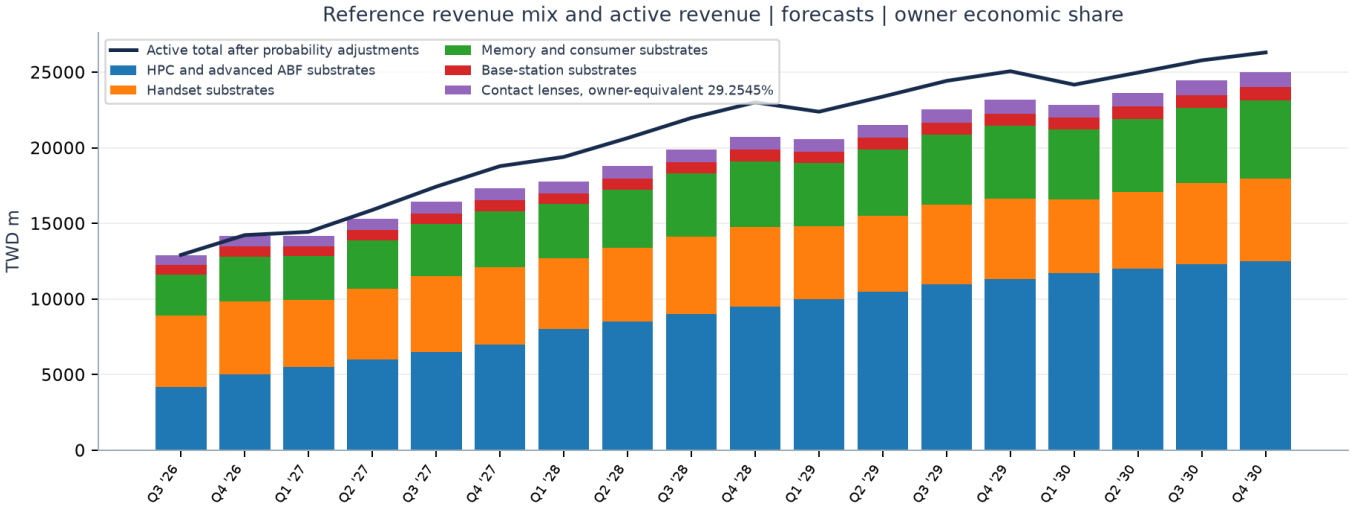
The component score is core 16/20, cycle 8/10, TAM 8/10, catalysts 4/5, macro 7/10, alpha 3/5 and risk minus 4. That is 42/60, or **Base 70**. Technical qualification, an established substrate business and improving demand support the score; the reference growth ambition, consumer exposure, ownership complexity and capex uncertainty restrain it.

The strongest falsification test is whether the company can deliver the reference HPC growth while covering its manufacturing and investment costs. If accepted output disappoints, counting a large package market is no substitute. If qualified capacity or contract pricing exceeds the bounded assumptions, those company-specific inputs can raise the model. The ceiling should change with that evidence, not with a higher stock quote.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	16	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	7	See the scoring evidence and distinct risk classes in the analysis.
Alpha	3	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-4	See the scoring evidence and distinct risk classes in the analysis.
Total	42/60	Rounded Base 70. Both artifact and new workbook row use this score; this is not a manual override.

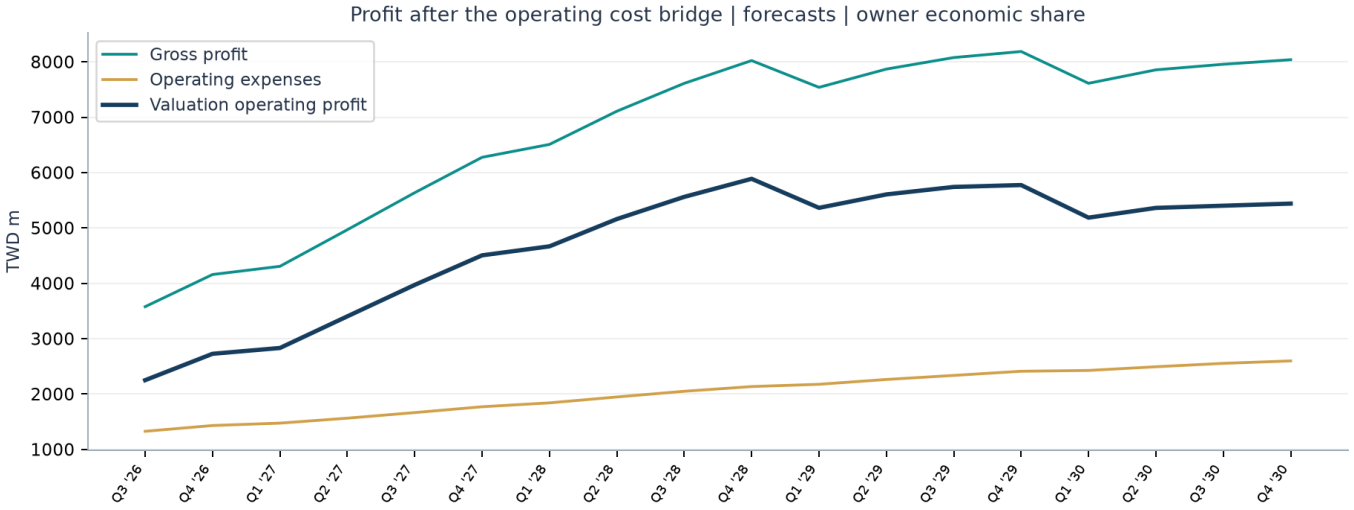
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	12,919.9	0.0	12,919.9
Q4 2026	14,172.1	57.6	14,229.7
Q1 2027	14,162.9	279.8	14,442.7
Q2 2027	15,301.4	588.8	15,890.2
Q3 2027	16,425.2	1,007.8	17,433.0
Q4 2027	17,319.9	1,468.8	18,788.7
Q1 2028	17,746.0	1,652.2	19,398.2
Q2 2028	18,784.5	1,862.0	20,646.5
Q3 2028	19,898.4	2,078.3	21,976.7
Q4 2028	20,733.0	2,276.8	23,009.8
Q1 2029	20,554.5	1,834.5	22,389.0
Q2 2029	21,533.0	1,855.1	23,388.1
Q3 2029	22,556.9	1,871.9	24,428.8
Q4 2029	23,191.5	1,874.5	25,066.0
Q1 2030	22,863.0	1,314.9	24,177.9
Q2 2030	23,641.5	1,335.0	24,976.5
Q3 2030	24,465.4	1,322.8	25,788.2
Q4 2030	25,000.0	1,310.0	26,310.0

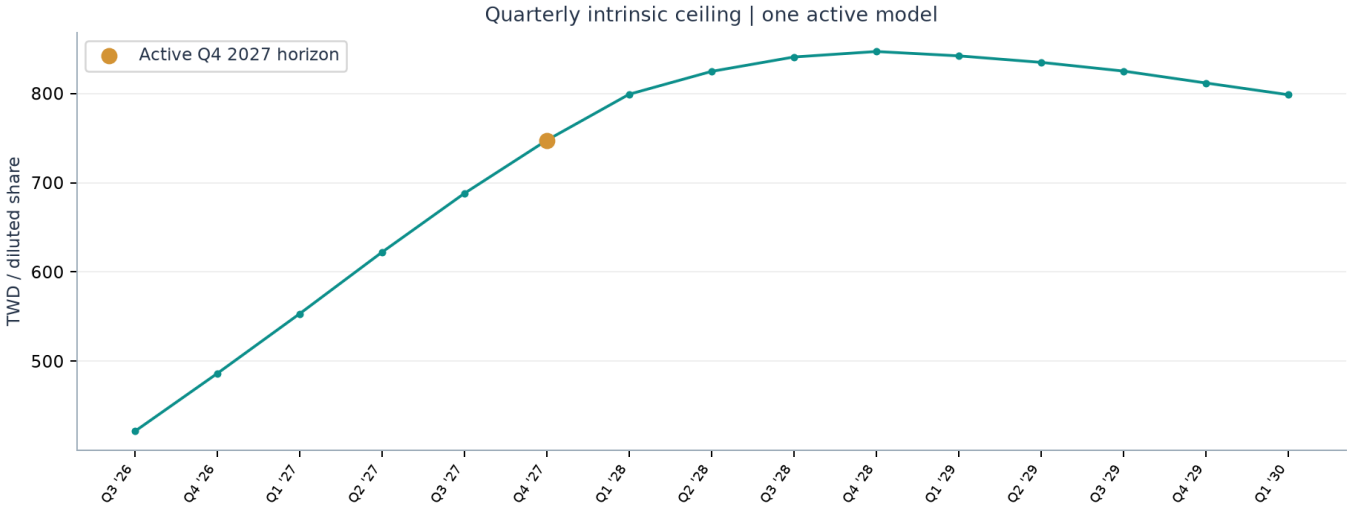
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	12,919.9	3,578.3	1,327.5	2,250.8	17.4%
Q4 2026	14,229.7	4,159.1	1,431.8	2,727.3	19.2%
Q1 2027	14,442.7	4,307.1	1,475.0	2,832.1	19.6%
Q2 2027	15,890.2	4,967.8	1,564.2	3,403.6	21.4%
Q3 2027	17,433.0	5,636.8	1,665.3	3,971.4	22.8%
Q4 2027	18,788.7	6,276.4	1,770.8	4,505.6	24.0%
Q1 2028	19,398.2	6,509.1	1,841.0	4,668.1	24.1%
Q2 2028	20,646.5	7,108.3	1,947.4	5,160.9	25.0%
Q3 2028	21,976.7	7,612.0	2,050.4	5,561.5	25.3%
Q4 2028	23,009.8	8,023.3	2,135.4	5,887.9	25.6%
Q1 2029	22,389.0	7,539.8	2,176.5	5,363.3	24.0%
Q2 2029	23,388.1	7,869.5	2,263.6	5,606.0	24.0%
Q3 2029	24,428.8	8,078.0	2,336.8	5,741.2	23.5%
Q4 2029	25,066.0	8,187.0	2,412.0	5,775.0	23.0%
Q1 2030	24,177.9	7,612.8	2,426.5	5,186.3	21.5%
Q2 2030	24,976.5	7,855.9	2,493.4	5,362.6	21.5%
Q3 2030	25,788.2	7,956.8	2,554.7	5,402.1	20.9%
Q4 2030	26,310.0	8,038.7	2,598.6	5,440.1	20.7%

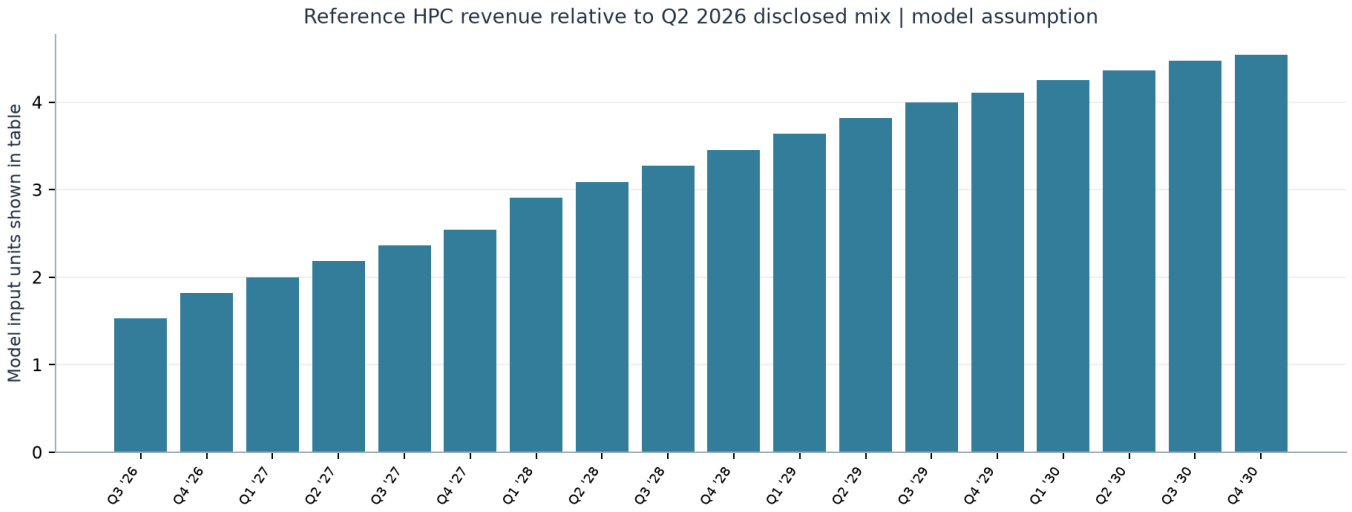
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	11,213.8	20x	528.097	421.54
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	12,934.4	20x	528.493	486.34
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	14,712.8	20x	528.889	553.22
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	16,548.7	20x	529.286	622.18
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	18,306.1	20x	529.683	688.07
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	19,896.2	20x	530.080	747.55
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	21,278.4	20x	530.478	799.11
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	21,973.7	20x	530.876	824.70
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	22,418.8	20x	531.274	840.84
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	22,598.4	20x	531.672	846.96
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	22,485.5	20x	532.071	842.08
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	22,308.5	20x	532.470	834.80
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	22,065.0	20x	532.869	825.04
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	21,725.9	20x	533.269	811.71
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	21,391.1	20x	533.669	798.55

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference HPC revenue relative to Q2 2026 disclosed mix	Status
Q3 2026	1.528	Reported revenue with modeled profit
Q4 2026	1.819	Model assumption
Q1 2027	2.001	Model assumption
Q2 2027	2.182	Model assumption
Q3 2027	2.364	Model assumption
Q4 2027	2.546	Model assumption
Q1 2028	2.910	Model assumption
Q2 2028	3.092	Model assumption
Q3 2028	3.274	Model assumption
Q4 2028	3.456	Model assumption
Q1 2029	3.637	Model assumption
Q2 2029	3.819	Model assumption
Q3 2029	4.001	Model assumption
Q4 2029	4.110	Model assumption
Q1 2030	4.256	Model assumption
Q2 2030	4.365	Model assumption
Q3 2030	4.474	Model assumption
Q4 2030	4.547	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	HPC and advanced ABF substrates	4,200.0	30.0%	1,260.0
Q3 2026	Handset substrates	4,700.0	25.0%	1,175.0
Q3 2026	Memory and consumer substrates	2,700.0	24.0%	648.0
Q3 2026	Base-station substrates	650.0	24.0%	156.0
Q3 2026	Contact lenses, owner-equivalent 29.2545%	669.9	53.0%	355.0
Q4 2026	HPC and advanced ABF substrates	5,000.0	32.0%	1,600.0
Q4 2026	Handset substrates	4,850.0	26.0%	1,261.0
Q4 2026	Memory and consumer substrates	2,950.0	25.5%	752.2
Q4 2026	Base-station substrates	670.0	24.0%	160.8
Q4 2026	Contact lenses, owner-equivalent 29.2545%	702.1	53.0%	372.1
Q1 2027	HPC and advanced ABF substrates	5,500.0	32.5%	1,787.5
Q1 2027	Handset substrates	4,450.0	25.5%	1,134.8
Q1 2027	Memory and consumer substrates	2,900.0	26.0%	754.0
Q1 2027	Base-station substrates	640.0	24.0%	153.6
Q1 2027	Contact lenses, owner-equivalent 29.2545%	672.9	53.0%	356.6
Q2 2027	HPC and advanced ABF substrates	6,000.0	34.0%	2,040.0
Q2 2027	Handset substrates	4,700.0	26.5%	1,245.5
Q2 2027	Memory and consumer substrates	3,200.0	27.0%	864.0
Q2 2027	Base-station substrates	670.0	24.0%	160.8
Q2 2027	Contact lenses, owner-equivalent 29.2545%	731.4	53.0%	387.6
Q3 2027	HPC and advanced ABF substrates	6,500.0	35.0%	2,275.0
Q3 2027	Handset substrates	5,000.0	27.0%	1,350.0
Q3 2027	Memory and consumer substrates	3,450.0	28.0%	966.0
Q3 2027	Base-station substrates	700.0	24.0%	168.0
Q3 2027	Contact lenses, owner-equivalent 29.2545%	775.2	53.0%	410.9
Q4 2027	HPC and advanced ABF substrates	7,000.0	36.0%	2,520.0
Q4 2027	Handset substrates	5,100.0	27.5%	1,402.5
Q4 2027	Memory and consumer substrates	3,700.0	29.0%	1,073.0
Q4 2027	Base-station substrates	730.0	24.0%	175.2
Q4 2027	Contact lenses, owner-equivalent 29.2545%	789.9	53.0%	418.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2028	HPC and advanced ABF substrates	8,000.0	36.0%	2,880.0
Q1 2028	Handset substrates	4,700.0	27.0%	1,269.0
Q1 2028	Memory and consumer substrates	3,600.0	29.0%	1,044.0
Q1 2028	Base-station substrates	700.0	24.0%	168.0
Q1 2028	Contact lenses, owner-equivalent 29.2545%	746.0	53.0%	395.4
Q2 2028	HPC and advanced ABF substrates	8,500.0	37.0%	3,145.0
Q2 2028	Handset substrates	4,900.0	28.0%	1,372.0
Q2 2028	Memory and consumer substrates	3,850.0	30.0%	1,155.0
Q2 2028	Base-station substrates	730.0	24.0%	175.2
Q2 2028	Contact lenses, owner-equivalent 29.2545%	804.5	53.0%	426.4
Q3 2028	HPC and advanced ABF substrates	9,000.0	37.5%	3,375.0
Q3 2028	Handset substrates	5,150.0	28.0%	1,442.0
Q3 2028	Memory and consumer substrates	4,150.0	30.0%	1,245.0
Q3 2028	Base-station substrates	750.0	24.0%	180.0
Q3 2028	Contact lenses, owner-equivalent 29.2545%	848.4	53.0%	449.6
Q4 2028	HPC and advanced ABF substrates	9,500.0	38.0%	3,610.0
Q4 2028	Handset substrates	5,250.0	28.0%	1,470.0
Q4 2028	Memory and consumer substrates	4,350.0	30.0%	1,305.0
Q4 2028	Base-station substrates	770.0	24.0%	184.8
Q4 2028	Contact lenses, owner-equivalent 29.2545%	863.0	53.0%	457.4
Q1 2029	HPC and advanced ABF substrates	10,000.0	37.0%	3,700.0
Q1 2029	Handset substrates	4,800.0	27.0%	1,296.0
Q1 2029	Memory and consumer substrates	4,200.0	29.0%	1,218.0
Q1 2029	Base-station substrates	750.0	24.0%	180.0
Q1 2029	Contact lenses, owner-equivalent 29.2545%	804.5	53.0%	426.4
Q2 2029	HPC and advanced ABF substrates	10,500.0	37.0%	3,885.0
Q2 2029	Handset substrates	5,000.0	27.0%	1,350.0
Q2 2029	Memory and consumer substrates	4,400.0	29.0%	1,276.0
Q2 2029	Base-station substrates	770.0	24.0%	184.8
Q2 2029	Contact lenses, owner-equivalent 29.2545%	863.0	53.0%	457.4
Q3 2029	HPC and advanced ABF substrates	11,000.0	36.5%	4,015.0
Q3 2029	Handset substrates	5,250.0	26.5%	1,391.2
Q3 2029	Memory and consumer substrates	4,600.0	28.0%	1,288.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2029	Base-station substrates	800.0	24.0%	192.0
Q3 2029	Contact lenses, owner-equivalent 29.2545%	906.9	53.0%	480.7
Q4 2029	HPC and advanced ABF substrates	11,300.0	36.0%	4,068.0
Q4 2029	Handset substrates	5,350.0	26.0%	1,391.0
Q4 2029	Memory and consumer substrates	4,800.0	28.0%	1,344.0
Q4 2029	Base-station substrates	820.0	24.0%	196.8
Q4 2029	Contact lenses, owner-equivalent 29.2545%	921.5	53.0%	488.4
Q1 2030	HPC and advanced ABF substrates	11,700.0	35.0%	4,095.0
Q1 2030	Handset substrates	4,900.0	25.5%	1,249.5
Q1 2030	Memory and consumer substrates	4,600.0	27.0%	1,242.0
Q1 2030	Base-station substrates	800.0	24.0%	192.0
Q1 2030	Contact lenses, owner-equivalent 29.2545%	863.0	53.0%	457.4
Q2 2030	HPC and advanced ABF substrates	12,000.0	35.0%	4,200.0
Q2 2030	Handset substrates	5,100.0	25.5%	1,300.5
Q2 2030	Memory and consumer substrates	4,800.0	27.0%	1,296.0
Q2 2030	Base-station substrates	820.0	24.0%	196.8
Q2 2030	Contact lenses, owner-equivalent 29.2545%	921.5	53.0%	488.4
Q3 2030	HPC and advanced ABF substrates	12,300.0	34.5%	4,243.5
Q3 2030	Handset substrates	5,350.0	25.0%	1,337.5
Q3 2030	Memory and consumer substrates	5,000.0	26.0%	1,300.0
Q3 2030	Base-station substrates	850.0	24.0%	204.0
Q3 2030	Contact lenses, owner-equivalent 29.2545%	965.4	53.0%	511.7
Q4 2030	HPC and advanced ABF substrates	12,500.0	34.0%	4,250.0
Q4 2030	Handset substrates	5,450.0	25.0%	1,362.5
Q4 2030	Memory and consumer substrates	5,200.0	26.0%	1,352.0
Q4 2030	Base-station substrates	870.0	24.0%	208.8
Q4 2030	Contact lenses, owner-equivalent 29.2545%	980.0	53.0%	519.4

Operating-cost derivation

Quarter	Substrate R&D, selling, administration and full residual Piotek costs	Contact-lens owner-equivalent operating costs
Q3 2026	1,160.0	167.5
Q4 2026	1,250.0	175.5
Q1 2027	1,290.0	168.2
Q2 2027	1,350.0	182.8
Q3 2027	1,420.0	193.8
Q4 2027	1,500.0	197.5
Q1 2028	1,570.0	186.5
Q2 2028	1,650.0	201.1
Q3 2028	1,730.0	212.1
Q4 2028	1,800.0	215.8
Q1 2029	1,870.0	201.1
Q2 2029	1,940.0	215.8
Q3 2029	2,000.0	226.7
Q4 2029	2,070.0	230.4
Q1 2030	2,120.0	215.8
Q2 2030	2,170.0	230.4
Q3 2030	2,220.0	241.3
Q4 2030	2,260.0	245.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	Qualified output	60%	0.0	0.0	0.0	0.0
Q3 2026	Modest price component	55%	0.0	0.0	0.0	0.0
Q3 2026	Ramp and yield risk	25%	0.0	-63.0	0.0	-15.8
Q3 2026	Stronger price difference	35%	0.0	0.0	0.0	0.0
Q4 2026	Qualified output	60%	0.0	0.0	0.0	0.0
Q4 2026	Modest price component	55%	80.8	44.5	3.2	22.7
Q4 2026	Ramp and yield risk	25%	-400.0	-295.0	0.0	-73.8
Q4 2026	Stronger price difference	35%	323.3	177.8	12.9	57.7
Q1 2027	Qualified output	60%	100.0	34.0	6.0	16.8
Q1 2027	Modest price component	55%	161.9	89.0	6.5	45.4
Q1 2027	Ramp and yield risk	25%	-440.0	-324.5	0.0	-81.1
Q1 2027	Stronger price difference	35%	688.0	378.4	27.5	122.8
Q2 2027	Qualified output	60%	250.0	85.0	15.0	42.0
Q2 2027	Modest price component	55%	262.3	144.2	10.5	73.6
Q2 2027	Ramp and yield risk	25%	-480.0	-354.0	0.0	-88.5
Q2 2027	Stronger price difference	35%	1,184.5	651.5	47.4	211.4
Q3 2027	Qualified output	60%	500.0	170.0	30.0	84.0
Q3 2027	Modest price component	55%	375.6	206.6	15.0	105.4
Q3 2027	Ramp and yield risk	25%	-520.0	-383.5	0.0	-95.9
Q3 2027	Stronger price difference	35%	1,803.3	991.8	72.1	321.9
Q4 2027	Qualified output	60%	750.0	255.0	45.0	126.0
Q4 2027	Modest price component	55%	495.9	272.7	19.8	139.1
Q4 2027	Ramp and yield risk	25%	-560.0	-413.0	0.0	-103.2
Q4 2027	Stronger price difference	35%	2,531.6	1,392.4	101.3	451.9
Q1 2028	Qualified output	60%	1,000.0	340.0	60.0	168.0
Q1 2028	Modest price component	55%	612.0	336.6	24.5	171.7
Q1 2028	Ramp and yield risk	25%	-640.0	-472.0	0.0	-118.0
Q1 2028	Stronger price difference	35%	2,501.6	1,375.9	100.1	446.5
Q2 2028	Qualified output	60%	1,250.0	425.0	75.0	210.0
Q2 2028	Modest price component	55%	647.3	356.0	25.9	181.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	Ramp and yield risk	25%	-680.0	-501.5	0.0	-125.4
Q2 2028	Stronger price difference	35%	2,645.8	1,455.2	105.8	472.3
Q3 2028	Qualified output	60%	1,500.0	510.0	90.0	252.0
Q3 2028	Modest price component	55%	685.8	377.2	27.4	192.4
Q3 2028	Ramp and yield risk	25%	-720.0	-531.0	0.0	-132.8
Q3 2028	Stronger price difference	35%	2,803.3	1,541.8	112.1	500.4
Q4 2028	Qualified output	60%	1,750.0	595.0	105.0	294.0
Q4 2028	Modest price component	55%	715.3	393.4	28.6	200.6
Q4 2028	Ramp and yield risk	25%	-760.0	-560.5	0.0	-140.1
Q4 2028	Stronger price difference	35%	2,923.9	1,608.2	117.0	521.9
Q1 2029	Qualified output	60%	2,000.0	680.0	120.0	336.0
Q1 2029	Modest price component	55%	592.5	325.9	23.7	166.2
Q1 2029	Ramp and yield risk	25%	-800.0	-590.0	0.0	-147.5
Q1 2029	Stronger price difference	35%	1,453.1	799.2	58.1	259.4
Q2 2029	Qualified output	60%	2,100.0	714.0	126.0	352.8
Q2 2029	Modest price component	55%	496.1	272.8	19.8	139.2
Q2 2029	Ramp and yield risk	25%	-840.0	-619.5	0.0	-154.9
Q2 2029	Stronger price difference	35%	1,520.8	836.5	60.8	271.5
Q3 2029	Qualified output	60%	2,200.0	748.0	132.0	369.6
Q3 2029	Modest price component	55%	389.7	214.3	15.6	109.3
Q3 2029	Ramp and yield risk	25%	-880.0	-649.0	0.0	-162.2
Q3 2029	Stronger price difference	35%	1,592.9	876.1	63.7	284.3
Q4 2029	Qualified output	60%	2,300.0	782.0	138.0	386.4
Q4 2029	Modest price component	55%	267.2	147.0	10.7	75.0
Q4 2029	Ramp and yield risk	25%	-904.0	-666.7	0.0	-166.7
Q4 2029	Stronger price difference	35%	1,638.5	901.2	65.5	292.5
Q1 2030	Qualified output	60%	2,400.0	816.0	144.0	403.2
Q1 2030	Modest price component	55%	198.0	108.9	7.9	55.5
Q1 2030	Ramp and yield risk	25%	-936.0	-690.3	0.0	-172.6
Q1 2030	Stronger price difference	35%	0.0	0.0	0.0	0.0
Q2 2030	Qualified output	60%	2,500.0	850.0	150.0	420.0
Q2 2030	Modest price component	55%	136.3	75.0	5.5	38.2
Q2 2030	Ramp and yield risk	25%	-960.0	-708.0	0.0	-177.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2030	Stronger price difference	35%	0.0	0.0	0.0	0.0
Q3 2030	Qualified output	60%	2,550.0	867.0	153.0	428.4
Q3 2030	Modest price component	55%	70.5	38.8	2.8	19.8
Q3 2030	Ramp and yield risk	25%	-984.0	-725.7	0.0	-181.4
Q3 2030	Stronger price difference	35%	0.0	0.0	0.0	0.0
Q4 2030	Qualified output	60%	2,600.0	884.0	156.0	436.8
Q4 2030	Modest price component	55%	0.0	0.0	0.0	0.0
Q4 2030	Ramp and yield risk	25%	-1,000.0	-737.5	0.0	-184.4
Q4 2030	Stronger price difference	35%	0.0	0.0	0.0	0.0

Enterprise-to-equity reconciliation

20x forward-four-quarter owner-equivalent operating profit, less financial claims, divided by diluted common shares at end of forward window. Q+next3.

Quarter	Reference claims	Weighted change	Total claims	Ceiling / share
Q3 2026	1,661.2	0.0	1,661.2	421.54
Q4 2026	1,661.2	0.0	1,661.2	486.34
Q1 2027	1,661.2	0.0	1,661.2	553.22
Q2 2027	1,661.2	0.0	1,661.2	622.18
Q3 2027	1,661.2	0.0	1,661.2	688.07
Q4 2027	1,661.2	0.0	1,661.2	747.55
Q1 2028	1,661.2	0.0	1,661.2	799.11
Q2 2028	1,661.2	0.0	1,661.2	824.70
Q3 2028	1,661.2	0.0	1,661.2	840.84
Q4 2028	1,661.2	0.0	1,661.2	846.96
Q1 2029	1,661.2	0.0	1,661.2	842.08
Q2 2029	1,661.2	0.0	1,661.2	834.80
Q3 2029	1,661.2	0.0	1,661.2	825.04
Q4 2029	1,661.2	0.0	1,661.2	811.71
Q1 2030	1,661.2	0.0	1,661.2	798.55
Q2 2030	1,661.2	0.0	1,661.2	-
Q3 2030	1,661.2	0.0	1,661.2	-
Q4 2030	1,661.2	0.0	1,661.2	-

Claim decisions, overlap and triggers

KINSUS-QUALIFIED-OUTPUT

probability: 0.6

signal: Issuer-approved TWD19.6bn expansion, qualified technology upgrades and accelerating monthly demand.

Conditional outcome: Additional HPC revenue over the already expanding reference: TWD100m in Q1 2027, TWD750m in Q4 2027, TWD1,750m in Q4 2028 and TWD2,600m in Q4 2030.

cost bridge: 34% incremental gross margin, including production and depreciation; 6% incremental operating costs.

overlap: Only residual output above reference. The reference already raises HPC revenue from TWD4.2bn in Q3 2026 to TWD7bn in Q4 2027. No second utilization multiplier.

timing: Qualified output accepted from 2027; spending precedes revenue.

counterevidence: No total qualified area, customer allocation, yield or installation timetable disclosed.

KINSUS-REPRICE

probability: 0.55

signal: High-layer package scarcity and costly customer delays; issuer warns of specialty film and high-end cloth constraints.

Conditional outcome: 2-12% price increase on 30% of reference substrate sales, fading from 2029 to zero by Q4 2030.

cost bridge: 45% of price dollars consumed by materials, processing and yield costs; another 4% by operating costs. Only 51% reaches operating profit.

overlap: Applies only to the 30% assumed new or repriceable pool, excludes conditional capacity revenue and fixed-price backlog.

timing: Q4 2026 onward, peaks through 2028.

counterevidence: Low-end substrates can remain oversupplied. Contract pricing and cost-pass-through are undisclosed.

probability interpretation: 55% is the common modest component shared by 35% stronger and 20% modest-only outcomes. The separate stronger-minus-modest differential is weighted at 35%; the two ledger rows are algebraic components of mutually exclusive outcomes.

KINSUS-RAMP-RISK

probability: 0.25

signal: Larger/high-layer substrates consume more process work and upstream advanced materials can constrain yield.

Conditional outcome: 8% reference HPC shipment shortfall plus 1.5% of HPC revenue in excess scrap/ramp cost. Q3 reported revenue is held fixed; only its cost risk remains.

cost bridge: Lost revenue at 55% contribution plus direct yield cost, with fixed overhead retained.

overlap: One correlated downside branch, not separate capacity, glass and yield demand shocks.

timing: 2026-2030; recurring platform qualifications keep a residual tail.

counterevidence: New lines and alternate material qualification could eliminate this risk.

KINSUS-PRICE-MAGNITUDE

probability: 0.35

signal: TrendForce Weekly Radar dated 5 October 2026 forecasts ABF substrate prices rising 10-15% quarter over quarter from Q3 2026 through Q4 2027. The original table is reviewed directly. This is an older source whose magnitude was not explicitly reconciled in the initiation, not a new independent repost.

Conditional outcome: On the same 30% new/repriceable reference-substrate pool, the stronger price level is +10% in Q4 2026, then +21%, +33.1%, +46.41% and +61.051% through 2027, measured against the Q3 2026 base. There is no new Q3 2026 increment because reported revenue already anchors that quarter.

state probabilities: Mutually exclusive outcomes are 35% stronger repricing, 20% the earlier modest path, and 45% no repricing. The calculations retain 55% of the modest path and add 35% of the stronger-minus-modest difference, exactly equivalent to those three outcomes.

probability reason: Industry scope, realized company pass-through and reset duration remain uncertain. A 35% stronger outcome is below the existing combined 55% repricing probability. The 30% eligible pool is retained to exclude fixed and legacy terms.

cost bridge: 55% of price dollars becomes incremental gross profit; 45% is consumed by material, processing and yield costs. Incremental operating costs are 4%, leaving 51% operating-profit capture. No volume or good-output multiplier is added.

overlap: Only the difference above the prior price path is incremental. Excludes contact lenses, fixed-price sales and conditional qualified-output revenue. The aggressive reference HPC revenue/mix path and all other operating assumptions are unchanged.

timing: The +61.051% stronger level is held through 2028 as a separate persistence assumption. In 2029 the stronger level equals that quarter's old level plus half of the 49.051-percentage-point gap over the old 2028 peak. In 2030 the differential is zero and the old modest fade resumes. This recognizes capacity response; the source itself stops at Q4 2027.

counterevidence: Customer repricing terms and exact high-end exposure remain undisclosed. Low-end ABF/BT supply can be loose; material cost inflation, yield loss and competing capacity can absorb scarcity rents. A company-wide compounded ASP is not assumed.

arithmetic correction: Five 10% increases from the Q3 2026 price level to Q4 2027 give +61.051%; five 15% increases give +101.136%. The post's +77-133% description mixes a six-increase/Q2 base with a five-increase interval. The active stronger path uses the lower 10% rate.

Remaining bounded uncertainties

- Exact customer allocation, qualified saleable area, product yields, ASP and fixed/repriceable mix remain undisclosed.

- Q2 English segment profit table equals group net income, not operating profit; never use it directly as EBIT.

- July capex budget is not an annual payment schedule; timing of the modeled cash budget remains uncertain.

- Private placement can reach 100m shares; no proceeds or issuance are assumed without a financing need or commenced transaction. A 100m-share no-proceeds stress is supplied.

- October 6 land acquisition details were identified in the filing index but original retrieval failed; avoid treating unquantified land as free expansion. Included construction contingency in the broad capex budget is not confirmation of its actual purchase price.

- CPO is included within HPC assumptions. No extra standalone revenue because the qualified-output branch already covers substrate content migration.

- The stronger price path is a bounded industry-to-company proxy, not a verified contract reset. Its 2028 persistence and 2029 fade are model assumptions beyond the source forecast horizon; the reference sales/mix build may already contain some pricing benefit, so eligibility remains limited to 30%.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q2 2026 consolidated financial statements | 2026-07-31

https://www.kinsus.com.tw/upload/media/ir/financial-information/financial-report/115/115Q2(E).pdf.pdf)

Archived source SHA-256: 6c0185cdc2d15e6f97c3c2f2318f96fd76281b7705b4c6e0717ef52c554a7e45

[2] 2025 annual report | 2026-04-22

https://financialfilings.com/filings/kinsus-3189/annual-report/2026/47936509/

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[3] September 2026 investor presentation | 2026-09-03

https://financialfilings.com/filings/kinsus-3189/investor-presentation/2026/59461104/

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[4] Pegavision Q2 2026 consolidated statements | 2026-07-31

https://www.pegavision.com/In_Annual-Report/2026_TA_Second_Quarter_Consolidated_Financial_Statements.pdf

Archived source SHA-256: fb23e0a40fca0fdd7bab8258d667488855b39a96c0def76df142d02ddadbc480

[5] Sept7_clarification.html

https://cdn.financialreports.eu/financialreports/media/filings/52304/2026/RNS/52304_rns_2026-09-07_b8ce82d3-7fc6-46a0-b345-3a2e1bcaeed1.html

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[6] August_profit.html

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[7] Capex_July31.html

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[8] Construction_Sept16.html

https://cdn.financialreports.eu/financialreports/media/filings/52304/2026/RNS/52304_rns_2026-09-16_382cf5ec-7d81-4134-be47-a46a9d04dae6.html

Archived source SHA-256: c220141902b067bdef7949bbdb412b9e9ecd53c914ffb34eb7ed01a15307dfc6

[9] Issuer monthly revenue, September update | 2026-10-06

https://www.kinsus.com.tw/zh-tw/annual/monthly_revenue

[10] TWSE October daily stock prices | 2026-10-06

https://www.twse.com.tw/exchangeReport/STOCK_DAY?response=json&date=20261006&stockNo=3189

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[11] TrendForce Weekly Radar 004 and preserved original supply-chain table | 2026-10-05

https://insights.trendforce.com/p/weekly-radar-004

Archived source SHA-256: f2298b3054ec4cbfec09ebb2919ae7cc43a71d60d6481fb4e9b4132793a5d4ec

[12] Jukan shares the TrendForce supply-chain table | 2026-10-05

https://x.com/jukan05/status/2107070303323189434

[13] ABF price compounding discussion | 2026-10-06

https://x.com/genZinvest0r/status/2107483523279892835

[14] QQ Timmy summary of unnamed brokers | 2026-10-07

https://x.com/QQ_Timmy/status/2107627203584536987

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.